

Case Study

Zepto

Business Strategy Report

Qualitative & Quantitative Analysis

Domain: Quick Commerce | Market: India | Analysis: 2025-26



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1. Company Introduction

 **Founded:** 2021 (originally "KiranaKart") — rebranded to Zepto same year

 **Founders:** Aadit Palicha (CEO) & Kaivalya Vohra (CTO) — Stanford dropouts, age 19 at launch

 **HQ:** Bengaluru, Karnataka, India

 **Domain:** Quick Commerce — 10-minute grocery & essentials delivery

 **Status:** Filed Updated DRHP with SEBI (8 June 2026) — first standalone, pure-play quick-commerce company headed for listing on Indian exchanges

India's fastest-growing quick-commerce challenger
— now headed to the public markets.

Why It's Growing

- Pioneered the "10-minute delivery" category in India
- Dense dark-store network: 1,139 stores across 66 cities (Mar 2026)
- Fastest order-volume growth among the top 3 players, FY24-FY26
- Category expansion: Café, Pharmacy, Bloom (farm-to-door)
- Retail-media (ads) revenue up 151% YoY in FY26

2. Business Model Analysis

Revenue Streams

- Product margin on grocery/essentials sales — core of GMV
- Delivery & convenience fees per order
- Advertising/Retail Media — ₹1,636 Cr in FY26, +151% YoY
- Zepto Pass — subscription for free delivery + extra discounts
- Café & Pharmacy — category expansion revenue

Advertising, not delivery commissions, is now Zepto's fastest-growing revenue engine.

Value Delivered to Customers

- 10-minute delivery on daily essentials
- 46,000+ SKUs across grocery, personal care, pharmacy, electronics
- Café for instant snacks; Bloom for fresh produce
- Live order tracking, one-tap reorder

Key Cost Drivers

- ▶ Dark-store leases & inventory holding (1,139 stores)
- ▶ Delivery-partner payouts & last-mile logistics
- ▶ Customer-acquisition discounts — direct driver of FY26's ₹5,905 Cr net loss



3. Unique Selling Proposition (USP)

Speed Leadership

Built the 10-minute category from scratch, ahead of incumbents adapting to it

Fastest Growth, Not Largest Scale

Outpacing Blinkit & Instamart on order-volume growth, even while trailing on store count

Purpose-Built Dark Stores

No legacy retail baggage, engineered for sub-15-minute dispatch

Founder-Led, Engineering-First Culture

Built by 19-year-old Stanford dropouts; product-speed obsession baked into DNA

Category Breadth in One App

Groceries + Café + Pharmacy + fresh produce (Bloom)

Capital-Market Validation

First pure-play quick-commerce IPO in India signals investor conviction in the model

Zepto wins on speed and growth velocity, not on scale — that's both its edge and its risk.

4. Market Gap & Customer Need Analysis

Before Zepto

Grocery delivery took hours, not minutes

No dark-store model — dependent on third-party retail stock

Limited daily-essentials access outside store hours

Fragmented apps for groceries, pharmacy, snacks

Zepto's Solution

Sub-15-minute delivery via dedicated dark stores

Vertically integrated inventory — zero third-party dependency

One app= Groceries + Café + Pharmacy + Fresh produce

Live tracking, instant reordering

Customer Benefits

★ Time saved on routine errands

★ Reliable fallback for forgotten/urgent items

★ Wider, fresher assortment in one place

★ One-app simplicity vs. multi-app hassle



5. Technology & Innovation Study

AI & ML

Demand forecasting, hyperlocal inventory placement, personalized recommendations

Dark-Store Engineering

Purpose-built micro-warehouses for pick-pack-dispatch in minutes

Route Optimization

Real-time delivery-partner allocation for shortest path

Retail Media Platform

In-house ad tech monetizing in-app traffic (₹1,636 Cr, FY26)

Category Tech Stack

Café (instant prep), Bloom (farm-to-consumer supply chain)



Key Innovation: Built dark-store fulfillment from the ground up — not retrofitted from e-commerce or food delivery — enabling consistently fast service at scale

6. Customer Review & Sentiment Analysis

✓ Positive Themes

- Fast delivery in well-served zones
- Wide product range across categories
- Easy app/UI navigation
- Useful Zepto Pass savings for frequent users

○ Neutral Themes

- Delivery-fee structure perceived as inconsistent
- Wallet credit/promo terms seen as unclear
- Product freshness varies by store/location

✗ Negative Themes

- Delivery delays vs. advertised ETA; inaccurate live tracking
- Damaged, expired, or substituted items, often without notice
- Slow refunds; chatbot-only support frustrates users
- Extra delivery fees on small/single-item orders

Zepto customer sentiment distribution

Illustrative distribution based on review themes from app stores and review platforms.



● Negative ● Neutral ● Positive

7. Competitor Benchmarking

Parameter	Zepto	Blinkit	Swiggy Instamart
Market Share (2026)	~29%	~46% (Leader)	~25%
Dark Stores (Mar 2026)	1,139 (66 Cities)	2,243	Backed by Swiggy Network
Avg. Daily Orders (Q4 FY26)	2.33 Million	~2.5 Million (Largest Scale)	~0.9-1 Million
Avg. Delivery Time	10-15 Minutes	8-12 Minutes	~12 Minutes
FY26 Revenue	₹22,624 Cr	Higher (Eternal-backed)	Lower (Swiggy-backed)
Backing	Standalone - IPO-bound (2026)	Eternal (Zomato)	Swiggy
Competitive Edge	Speed-first, Fastest Order Growth	Density + Ecosystem Scale	Tier 2/3 Reach via Swiggy App

8. SWOT Analysis



STRENGTHS

- #2/#3 in India's quick-commerce market by share
- Fastest order-volume growth, FY24-FY26
- Purpose-built dark-store model, no legacy baggage
- Advertising revenue scaling fast (+151% YoY)
- Young, agile, product-first leadership

OPPORTUNITIES

- India's quick-commerce GMV projected to hit \$60-83B by 2030
- Tier 2/3 city expansion headroom
- Pharmacy, beauty, electronics category depth
- ₹8,010 Cr fresh IPO capital to fund the next phase

WEAKNESSES

- Net loss widened to ₹5,905 Cr in FY26
- Dark-store count roughly half of Blinkit's
- Customer support & refund speed under criticism
- MAU dipped sequentially in March 2026 — retention softening

THREATS

- Blinkit's dominant share and 2x dark-store density
- New entrants — Amazon Now, Flipkart Minutes, JioMart Express
- Industry-wide thin margins, discount dependency
- Regulatory scrutiny (FSSAI, kirana-trade pushback)

9. Key Insights & Findings

Top Strengths

- ✓ Fastest-growing player by order volume — Q4 FY26 orders up 64% YoY
- ✓ Revenue diversifying beyond commissions — ads up 151% YoY
- ✓ Scale is real: 47.97M annual users, 640M+ orders processed FY26
- ✓ Capital markets validating the model via India's first standalone quick-commerce IPO

Problem Areas

- ⚠ Losses outgrowing revenue — ₹5,905 Cr net loss in FY26
- ⚠ Retention softening, not just acquisition slowing — MAU dipped in March 2026
- ⚠ Service reliability lagging the "speed" brand promise — delays, damaged items, slow refunds
- ⚠ Structural network disadvantage — 1,139 stores vs. Blinkit's 2,243



9B. Financial Performance Snapshot

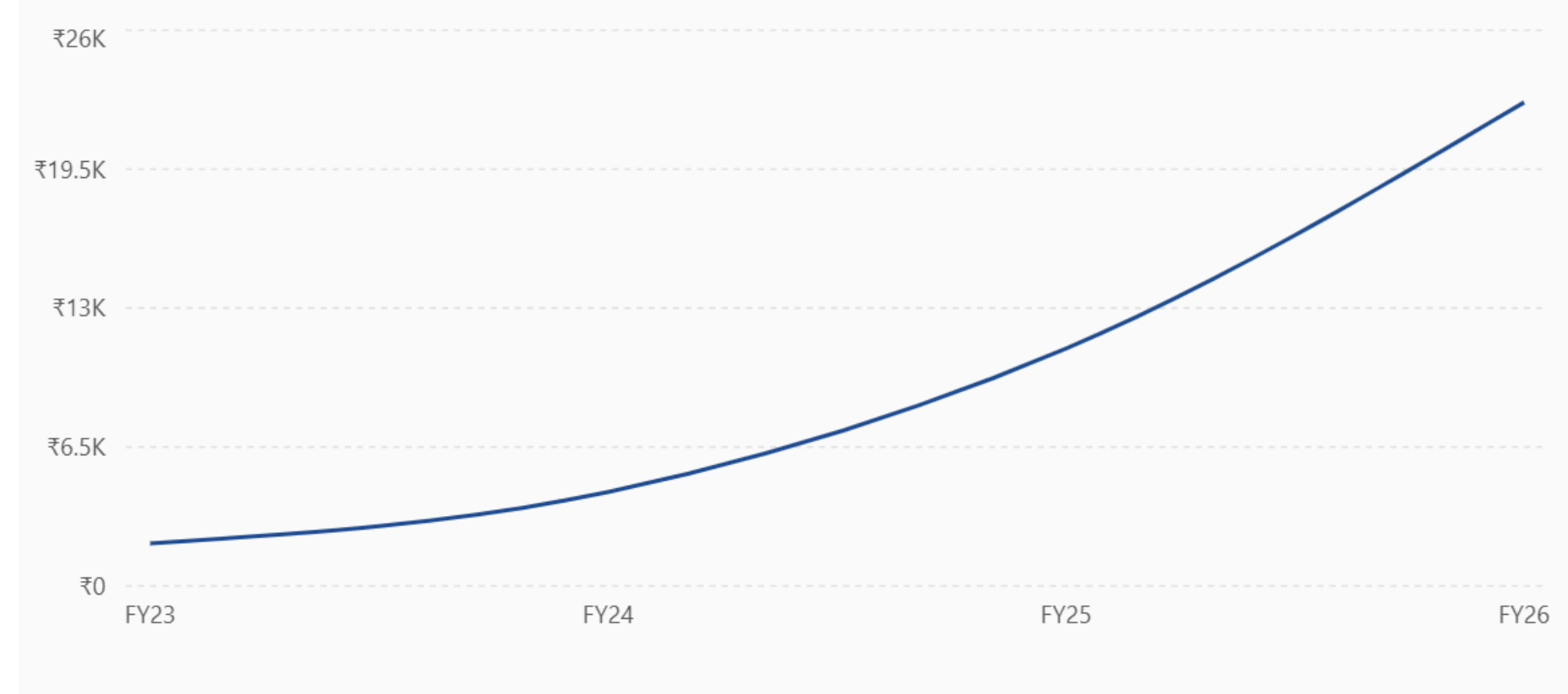
(Source: Zepto's Updated DRHP filed with SEBI, 8 June 2026)

Revenue keeps doubling — but so does the cost of buying that growth.

- ₹22,624 Cr — Revenue (FY26) | +104% YoY
- 47.97M — Annual Transacting Users | +25% YoY
- ~70M+ — Orders/Month (Q4 FY26 avg.) | +64% YoY
- ₹5,905 Cr — Net Loss (FY26) | Widening — not yet profitable

Zepto revenue growth trend

Approximate revenue trajectory from FY23 to FY26.



Growth Drivers

- ▶ Advertising/retail-media revenue (+151% YoY)
- ▶ Dark-store expansion (1,139 stores, 66 cities)
- ▶ Rising order frequency & non-grocery category sales
- ▶ Category expansion — Pharmacy, Café, Bloom
- ▶ ₹8,010 Cr fresh IPO capital earmarked for scale-up

10. Strategic Recommendations – Short Term (0-12 months)

Tag	Recommendation	Expected Impact
Retention Fix	AI-driven win-back offers for users inactive for 15+ days	Reverse MAU decline and improve customer retention by 5-8%
Service Reliability	Introduce SLA-based delivery scorecards and auto-refunds for orders delayed beyond 20 minutes	Reduce delivery-related complaints and improve customer satisfaction
Trust Recovery	Implement tamper-evident packaging and photo-proof verification for perishable items	Reduce damaged, expired, and incorrect item complaints
Margin Lever	Expand private-label products across top 20 high-demand categories	Improve contribution margins without increasing prices
Monetization	Open retail media advertising inventory to mid-sized brands in addition to large advertisers	Accelerate ad revenue growth and diversify monetization streams

10B. Strategic Recommendations — Long Term (1-3 years)

The next 3 years must turn a growth story into a profit story.

Year 1 (Post-IPO)

- Deploy IPO capital into dark-store density in existing cities first — close the gap with Blinkit before new-city expansion
- Build automated returns/refund infrastructure to cut resolution time from hours to minutes

Year 2

- Scale Pharmacy and Bloom into standalone high-margin verticals
- Launch a tiered loyalty program beyond Zepto Pass to lock in high-frequency users

Year 3

- Target company-wide adjusted-EBITDA profitability (ex-ESOP) — not just per-store
- Expand Tier 2/3 cities only after Tier 1 unit economics are proven — avoid repeating early discount-led burn



Conclusion & Results

Zepto's IPO is the moment its growth story must start proving it's also a profit story.

🏆 Fastest-growing quick-commerce player by order volume — but #2/#3 by share (~29% vs. Blinkit's ~46%).

📊 Revenue has roughly doubled every year for 4 years, hitting ₹22,624 Cr in FY26 (+104% YoY) — per its own IPO filing.

💰 Profitability is the central risk: net loss widened to ₹5,905 Cr; ad revenue (+151% YoY) is the clearest margin lever.

⚠️ Delivery delays, damaged items, slow refunds, and a March 2026 user dip need urgent fixing.

🏢 Closing the dark-store gap with Blinkit (1,139 vs. 2,243) is the single biggest growth-and-reliability lever.

🚀 The 2026 IPO (₹8,010 Cr fresh capital) gives Zepto runway to convert scale into sustainable, profitable growth.